

FIGURE 4-1 The Wide World of Bonds

Type	Maturity	Minimum purchase	Risk of default
Treasury bills	Less than one year	\$1,000 (D)	Extremely low
Treasury notes	Between one and 10 years	\$1,000 (D)	Extremely low
Treasury bonds	More than 10 yrs	\$1,000 (D)	Extremely low
Savings bonds	Up to 30 years	\$25 (D)	Extremely low
Certificates of deposit	One month to 5 yrs	Usually \$500	Very low; insured up to \$100,000
Money-market funds	397 days or less	Usually \$2,500	Very low
Mortgage debt	One to 30 yrs	\$2,000–\$3,000 (F)	Generally moderate but can be high
Municipal bonds	One to 30 yrs or more	\$5,000 (D); \$2,000–\$3,000 (F)	Generally moderate but can be high
Preferred stock	Indefinite	None	High
High-yield (“junk”) bonds	Seven to 20 yrs	\$2,000–\$3,000 (F)	High
Emerging-markets debt	Up to 30 yrs	\$2,000–\$3,000 (F)	High

Sources: Bankrate.com, Bloomberg, Lehman Brothers, Merrill Lynch, Morningstar, www.savingsbonds.gov

Notes: (D): purchased directly. (F): purchased through a mutual fund. “Ease of sale before maturity” indicates how readily you can sell at a fair price before maturity date; mutual funds typically offer better ease of sale than individual bonds. Money-market funds are Federally insured up to \$100,000 if purchased at an FDIC-member bank, but otherwise carry only an implicit pledge not to lose value. Federal income tax on savings bonds is deferred until redemption or maturity. Municipal bonds are generally exempt from state income tax only in the state where they were issued.